Mosquito Joe

Franchise Decision Report

Source: 2025 Franchise Disclosure Document
Filed with the Wisconsin Department of Financial Institutions
Legal entity: Mosquito Joe SPV LLC
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Executive Summary

Mosquito Joe is the third-largest mosquito franchise brand by outlet count (415 franchised) and the most data-rich in the cohort — its Item 19 discloses customer retention rates (77%), per-treatment pricing ($90.54 average), and gross sales broken out by operator tenure. For a buyer doing due diligence, this is the most transparent brand in the category.

The trade-off is cost. Mosquito Joe has the most complex and expensive fee structure in the cohort. At $300K gross revenue, annual franchisor fees total $84,752 (28.3% of revenue) — $32,000 more than Mosquito Authority and roughly $7,000 more than Mosquito Squad. The marketing structure alone includes five mandatory components (MAP fee, Direct Marketing Program, Local Performance Marketing, SEO, and potentially LMG), with first-year marketing obligations exceeding $75,000. Initial investment runs $150K–$192K, highest in the cohort.

The sharpest concern is the 2024 termination spike: 24 closures (up from 5–6 in prior years), concentrated in Alabama (8 of 24). The system contracted by 1 unit for the first time in the reporting period. This may be a one-time correction, but it requires explanation.

Decision Scorecard

Quick-read assessment across key buyer decision dimensions. Ratings reflect this brand's position relative to the mosquito pest control cohort.

DIMENSION	RATING	SUMMARY
Entry cost burden	**WEAK**	Highest in cohort. $150K–$192K driven by $72K+ in mandatory first-year marketing programs.
Ongoing fee burden	**WEAK**	#4 at most revenue levels. 28% at $300K. Most complex fee structure with 5+ mandatory marketing components.
System stability	**MIXED**	Steady growth reversed in 2024 (–1 unit). 24 terminations (5× prior years). Alabama cluster (8 of 24) is concentrated.
Revenue disclosure	**STRONG**	Best Item 19 in cohort. Retention rates, per-treatment pricing, and tenure-segmented gross sales. Actionable data.
Disclosure quality	**MIXED**	Copy-paste errors in Item 19 headers. Data appears correct but formatting sloppiness in a Neighborly-backed filing is notable.
Downside risk profile	**MIXED**	Termination spike needs explanation. Fee escalation provisions (30%/year on tech/SEO) and conditional fees create cost uncertainty.
Buyer fit breadth	**MIXED**	Requires $150K+ capital and tolerance for complex fee structure. Best for buyers who value brand infrastructure over cost efficiency.
Overall	**CAUTIOUS**	Most data-rich brand but highest cost. The premium buys transparency and Neighborly infrastructure — not lower risk or better unit economics.

OVERALL POSTURE

Mosquito Joe is the most transparent brand in this cohort and the most expensive. The disclosure quality is genuinely useful — a buyer can build a more informed financial model from Joe's Item 19 than from any competitor's. But the fee complexity, the 2024 termination spike, and the highest investment in the category mean this is not a low-risk entry. It suits a buyer with capital, comfort with complex fee structures, and belief in the Neighborly platform's value. It does not suit a budget-sensitive first-time buyer.

Buyer-Fit Profile

Best fit for

- **Buyer who values data transparency:** Joe's Item 19 gives you the most complete picture of system economics in the cohort. If you want to build a detailed financial model before committing, this brand gives you the most inputs to work with.
- **Buyer who values brand infrastructure:** Neighborly's platform provides shared call centers, cross-brand marketing, operational systems, and a recognized home-services brand. If you believe platform effects matter, Joe delivers them.
- **Well-capitalized buyer:** $150K–$192K entry cost plus $72K+ in Year 1 marketing means you need $200K+ in accessible capital. This is not a shoestring operation.
- **Buyer comfortable with complex fee structures:** If you can model and manage 5+ fee components, conditional charges, and escalation provisions, the complexity is navigable. If you want a simple cost structure, look elsewhere.

Weaker fit for

- **Budget-sensitive first-time buyer:** At $150K+ to enter and $85K/year in franchisor fees at $300K revenue, this is the most expensive option in the category. Mosquito Authority enters for $54K and costs $32K/year less to operate.
- **Buyer who prioritizes cost efficiency:** If your strategy is to minimize franchisor fees and maximize retained earnings, Joe is the wrong brand. The fee structure is designed to fund franchisor programs, not minimize franchisee cost.
- **Buyer in a smaller or unproven market:** The mandatory $72K+ in first-year marketing obligations don't scale down for smaller territories. If your market's potential is modest, the fixed marketing costs consume a disproportionate share of revenue.

Proceed only if

- You have at least $200K in accessible capital (investment + personal reserves for 6+ months).
- You've gotten a satisfactory explanation for the 2024 termination spike — particularly the Alabama cluster.
- You've validated the DMP's ROI with 3+ current franchisees who can show actual lead attribution data.
- You understand and accept every conditional fee (LMG, per-sale call center, Key Accounts) and have modeled worst-case total fee burden.

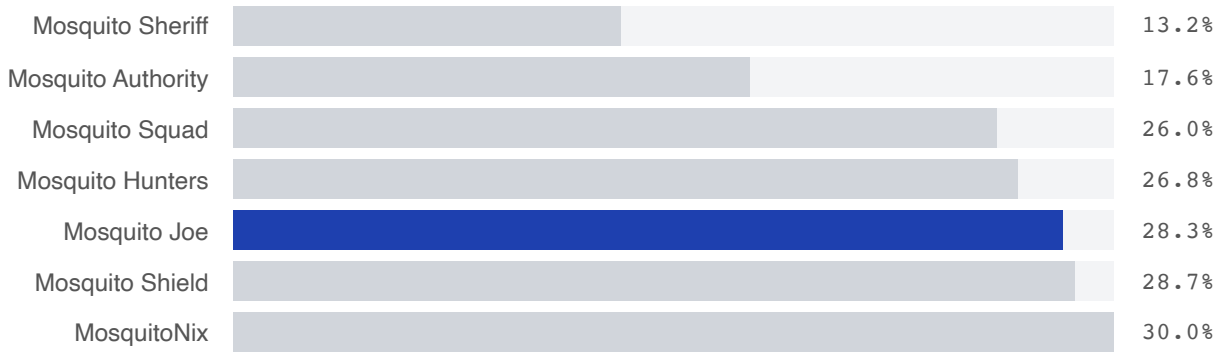
Fee Burden Analysis

Mosquito Joe has the second-highest ongoing fee burden in the cohort at most revenue levels, and the most complex marketing structure of any brand reviewed. The primary cost driver is

marketing: five mandatory components that total $44,900–$48,900/year before any conditional programs.

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$20,000	$44,900	$7,852	**$72,752**	36.4%	5/7
$300,000	$30,000	$46,900	$7,852	**$84,752**	28.3%	5/7
$400,000	$40,000	$48,900	$7,852	**$96,752**	24.2%	6/7
$500,000	$50,000	$39,900	$7,852	**$97,752**	19.6%	3/7

Cohort fee burden at $300K revenue



Total annual franchisor fees as a percentage of $300K gross revenue. Includes royalty, marketing, technology, and all mandatory recurring fees.

Component breakdown

- **Royalty (10%/7% tiered):** 10% on the first $500K of Gross Sales per territory, dropping to 7% above $500K. The tier benefits larger operators but is irrelevant at the revenue levels most single-territory operators reach. Minimum License Fees begin Year 3: $325/week (Jun–Sep only), Year 4: $400/week, Year 5+: $500/week. (pp. 28–29)
- **MAP Fee (2% of Gross Sales):** Brand fund contribution. Includes WebPunch license. This is the straightforward component. (p. 28)
- **Direct Marketing Program ($37,000/year):** The largest single mandatory fee. Covers direct mail and digital marketing programs. Reduced to $26,000 if prior-year Gross Sales exceed $450K. Setup fee $1,000 + mailing list fee $0.05/household ($1,250–$1,750 additional). (pp. 30, 35)
- **Local Performance Marketing ($35,000/year):** Required for the first 12 months only. This is a first-year marketing investment on top of the DMP — a $35K obligation that does not

repeat but significantly increases Year 1 cash requirements. (p. 35, Item 7)

- **SEO Program ($325/month):** $3,900/year. Per website. May increase up to 30% annually. (p. 30)
- **Technology ($371/month):** $4,452/year. Covers ServSuite, Office365, FranConnect, Nextiva, Qvinci. +$25/month per additional territory. May increase up to 30% annually. (p. 30)
- **Call Center ($200/month + $25/closed sale):** Mandatory for rollover and after-hours. The per-sale fee is variable and excluded from the model — at 200 closed sales/year, it adds $5,000. (p. 29)
- **Convention ($1,000/year):** Plus travel. $2,000 penalty for non-attendance. (p. 31)

> **What this means:** At $300K revenue, you retain ~$215K after franchisor fees. At Mosquito Authority, you'd keep ~$247K — a $32,000/year difference. Over a 10-year term, that's $320,000 in additional fees paid to the franchisor. The question is whether Neighborly's brand infrastructure, marketing programs, and operational support justify that premium.

> **HIDDEN VARIABLE — CONDITIONAL FEES**
>
> The fee model excludes Local Marketing Groups (LMG, 2% of Gross Sales — may be required) and the per-closed-sale call center fee ($25/sale). If both are active, add $11,000–$15,000/year at $300K revenue. The FDD also permits up to 30% annual increases on technology and SEO fees. The disclosed fee structure is a floor, not a ceiling.

Item 19 Interpretation

Mosquito Joe's Item 19 is the most useful in the cohort for a prospective buyer. It provides three things no other brand in this category discloses together: customer retention metrics, per-treatment pricing, and gross sales segmented by operator tenure.

Part I — Customer metrics (2024)

Based on 410 of 415 franchised businesses:

- **Customer retention: 77%** — three-quarters of customers return year over year
- **Recurring customer rate: 89%** — among returning customers, nearly all are on recurring service plans
- **Average gross sales per treatment: $90.54** (median: $88.62)
- 167 of 410 (41%) achieved or exceeded the average per-treatment price

The 77% retention rate is a strong signal for a recurring-revenue business. It means roughly one in four customers needs to be replaced each year. Combined with the 89% recurring rate, the business model is demonstrably sticky once you acquire customers.

Part II — Gross sales by tenure (2024)

387 businesses open 12+ months, segmented by operating tenure:

TENURE	COUNT	AVERAGE	MEDIAN	HIGH	LOW
First 5 Years	91	$214,794	$287,832	$850,881	$15,980
Six Plus Years	296	$432,954	$339,460	$1,901,756	$13,884

What to be careful about

The First 5 Years data is left-skewed: The median ($287,832) exceeds the average ($214,794), meaning a cluster of very low performers pulls the average down. If you're evaluating likely revenue, the median is more representative than the average for this cohort — but the $16K low shows some operators barely function.

These are per-franchisee figures, not per-territory. The FDD doesn't disclose how many territories each reporting business operates. If the average is 1.5–2 territories, per-territory revenue is significantly lower. The FDD does not clarify this.

Document quality flag: Column headers in the Part II tables contain copy-paste errors — customer and job count headers read "Average Annual Gross Sales" and "Median Annual Gross Sales" instead of the correct labels. The data values appear correct; it's a formatting error in the filed FDD, not a data integrity issue.

> **What this means:** A reasonable revenue expectation for a single-territory operator in the first 5 years is likely in the $215K–$290K range (between the average of ~$215K and median of ~$288K). Mature operators reach $340K–$430K. The high performers ($850K–$1.9M) almost certainly operate multiple territories. Plan around the median, not the average or the high — and validate the per-territory assumption with current franchisees.

Revenue triangulation

Cross-checking the gross sales data against treatment pricing provides a useful sanity check. At the average price of $90.54 per treatment:

- $215K (First 5 Years average) implies ~2,375 treatments/year
- $288K (First 5 Years median) implies ~3,180 treatments/year

- $340K (Six Plus Years median) implies ~3,750 treatments/year

The reported average jobs per business for First 5 Years is 2,305 (median 3,328), which aligns closely with the treatment-count math. This internal consistency gives reasonable confidence in the revenue figures.

Customer counts add another check: First 5 Years average of 298 customers, with ~8 treatments per customer per season (2,305 jobs ÷ 298 customers). The math is consistent. This is a business where you serve ~300 customers, each receiving ~8 treatments at ~$90, for ~$215K–$290K in gross revenue during the first few years.

Buyer-Side Economics Reality Check

Important framing: This is not a profitability forecast. It is an illustrative scenario exercise using Mosquito Joe's disclosed Item 19 revenue data combined with a 23% cost-of-goods estimate borrowed from Mosquito Authority's company-owned P&L (the only company-owned cost data available in this cohort). Mosquito Joe does not disclose franchisee cost data. Your actual results depend on your market, operating costs, and execution.

SCENARIO	REVENUE	FRANCHISOR FEES	EST. COGS	REMAINING
Conservative (First 5 Yrs avg)	$215,000	$74,551 (34.7%)	$49,450	**$90,999**
Moderate (First 5 Yrs median)	$288,000	$83,311 (28.9%)	$66,240	**$138,449**
Mature (Six Plus Yrs median)	$340,000	$89,551 (26.3%)	$78,200	**$172,249**

Revenue from Item 19 tenure-segmented data. COGS at 23% (borrowed from Mosquito Authority company-owned P&L — no MJ cost data available). Franchisor fees from fee burden model. 'Remaining' must cover: vehicle costs, insurance, chemical supplies, seasonal labor, marketing beyond mandatory programs, and your living expenses.

What the scenarios tell you

Conservative (First 5 Yrs average, $215K): After fees ($75K) and COGS ($49K), $91K remains. This must cover all operating costs and your living expenses. If non-fee operating costs run $30K–$40K, your effective owner draw is $50K–$60K before taxes. This is tighter than it looks — the $72K+ in first-year marketing obligations are already spent.

Moderate (First 5 Yrs median, $288K): The median revenue produces $133K remaining after fees and COGS. After typical operating costs, an owner draw of $80K–$95K is plausible.

This is the scenario where Joe's economics start working. But remember: half of first-5-year operators are below this number.

Mature (Six Plus Yrs median, $340K): At mature revenue levels, $163K remains after fees and COGS. A well-run single-territory operation could generate $100K+ owner draw at this level. This is where the Neighborly premium becomes defensible — if the brand infrastructure helped you get to $340K.

> **THE COST PREMIUM IN CONTEXT**
>
> At $300K revenue, Mosquito Joe's franchisor fees are $85K — about $32K more than Mosquito Authority ($53K). That means the buyer is paying an additional $32K/year for the Neighborly platform. Is the brand infrastructure, marketing program, and operational support worth $32K/year to you? If the DMP and Neighborly's systems help you reach $340K+ faster than you'd reach $300K with a low-cost brand, the premium pays for itself. If not, you've funded corporate programs at the expense of your own economics.

What the buyer still needs to validate

- **Actual total fees:** Model worst-case by including LMG (2% of GS), per-sale call center fees ($25 × estimated sales), Key Account fees (up to 5% of related GS), and 30% annual escalation on tech/SEO.
- **Per-territory revenue:** Confirm whether the Item 19 figures are per franchisee or per territory. If multi-territory operators are included in the averages, single-territory revenue is lower.
- **DMP attribution:** Get actual lead data from 3+ franchisees. The $37K/year program should have measurable ROI — if the franchisor can't demonstrate it, that's a signal.
- **First-year cash flow:** With $72K+ in mandatory Year 1 marketing, map the month-by-month cash draw against expected revenue ramp. The 3-month working capital estimate in Item 7 ($17K–$28K) is almost certainly insufficient.

Illustrative Payback Sensitivity

The table below shows how long it would take to recover your initial investment under different assumptions about annual owner draw (net income after all costs, fees, and operating expenses — but before personal taxes).

ASSUMED ANNUAL OWNER DRAW	LOW INVESTMENT ($150K)	MID INVESTMENT ($171K)	HIGH INVESTMENT ($192K)
$40K (conservative early years)	3.8 years	4.3 years	4.8 years
$70K (moderate, Year 4+ target)	2.1 years	2.4 years	2.7 years
$100K (mature operation)	1.5 years	1.7 years	1.9 years

ASSUMPTION SENSITIVITY

These payback periods assume a constant annual draw, which is unrealistic. Year 1 income will be low while you build a customer base, and $72K+ in mandatory marketing is front-loaded. A more honest frame: if you reach $288K revenue (First 5 Years median) by Year 3 and sustain $80K–$95K owner draw from Year 3 onward, payback occurs around Year 5–6 at mid investment. The higher investment threshold compared to competitors means you need either higher revenue or a longer time horizon to recover your capital.

Investment Breakdown

Highest in the cohort: $150,155–$192,075. The major cost drivers are the marketing programs: the Direct Marketing Program ($37K), Local Performance Marketing ($35K), and setup fees account for roughly half the total investment before you buy a single piece of equipment.

CATEGORY	LOW	HIGH
Initial Franchise Fee	$42,500	$42,500
Direct Marketing Program / Setup + Annual Fee	$37,000	$37,000
Direct Marketing Program / Annual Mailing List Fee	$1,250	$1,750
Local Performance Marketing Investment (12 months)	$35,000	$35,000
SEO Program Fee (3 months)	$325	$975
Real Property	$0	$6,000
Office Furnishings, Signage & Fixtures	$0	$2,000
Tools, Equipment, Products, Uniforms & Supplies	$5,500	$6,500
Vehicle, Shelving & Decals	$3,000	$10,000
Initial Training	$100	$2,000
Insurance, Office & Marketing Supplies & Forms	$6,000	$7,000
Professional Fees	$0	$1,000
Licenses	$100	$3,200
Computer, Internet Devices, Phones, Software Setup	$2,600	$5,100
Deposits	$0	$4,000
Additional Funds - 3 Months	$16,780	$28,050
Total	**$150,155**	**$192,075**

What to know about the major line items

- **Franchise fee ($42,500):** Standard for 25,000–35,000 Targeted Households. Extensive discount programs available (Community Heroes $8,500 off, VetFran $8,500 off, Licensed Pesticide Applicator $2,500 off). Multi-territory pricing: 2 for $85K, 3 for $118.5K. Only one discount may be used. (pp. 24–28)
- **Direct Marketing Program ($37K–$38.75K):** $37K annual fee + $1K setup + $1,250–$1,750 mailing list. This is a mandatory pre-opening expense, not optional marketing you choose to do. It's the single most distinctive cost in Mosquito Joe's model. (pp. 30, 35)

- **Local Performance Marketing ($35,000):** Required first 12 months. This is on top of the DMP — essentially a $35K marketing investment required before you know if your territory works. (p. 35)
- **Vehicle ($3K–$10K):** Vehicle, shelving, and decals. Notably lower than competitors because MJ's Item 7 assumes you're adding equipment to an existing vehicle, not buying one. (p. 39)
- **Additional funds ($16.8K–$28K):** 3-month working capital estimate. Given the high fixed marketing costs, this is conservative. A buyer should plan for additional personal reserves beyond this. (p. 39)

> **What this means:** Mosquito Joe's investment is front-loaded with mandatory marketing spend ($72K+ in Year 1 marketing programs alone). The theory is that this aggressive launch marketing builds a customer base faster. The risk is that you're paying $72K for marketing programs before you've validated your territory. If the programs underperform, that money is gone — unlike equipment, marketing spend has no residual value.

System Health

The second-largest system in the cohort (415 franchised units), with steady growth through 2023 (+22/year) that reversed in 2024 (−1). The 2024 contraction is driven entirely by a termination spike: 24 closures, up from 5–6 in prior years. This is the most significant system health signal in the current filing.

YEAR	OPENED	CLOSED	NET	END COUNT
2022	28	6	+22	394
2023	28	6	+22	416
2024	23	24	−1	415

The 2024 termination spike

24 terminations in 2024, compared to 5 in 2023 and 6 in 2022. Nearly 5× the prior-year rate. Eight of the 24 were in Alabama, which went from 9 outlets to 1 — suggesting a state-level issue (regulatory, market, or operator-cluster problem) rather than a system-wide trend.

The remaining 16 terminations were distributed across other states. Without more detail, this could represent:

- A one-time enforcement action against underperforming operators

- A change in franchisor tolerance for non-compliance (possibly related to the Bailey litigation, which involved failure to pay DMP fees)
- Genuine market stress in certain territories

> **What this means:** This is the most important item to investigate at Discovery Day. A one-time correction of non-compliant operators is actually a positive signal (the franchisor is enforcing quality). But if it reflects market deterioration or fee-burden stress, it's a warning. The Alabama concentration is notable — ask specifically about what happened there.

Transfer activity

30 transfers in 2022, 11 in 2023, 8 in 2024. The steep decline (30 → 8) coincides with the termination spike. Fewer transfers could mean fewer voluntary exits (good), or fewer willing buyers for resales (bad). Context matters.

Company-owned footprint

Two company-owned locations, stable across the reporting period. Minimal franchisor competition with franchisees.

Risk Signals

Fee complexity and escalation risk

Five mandatory marketing components, plus technology and call center fees, each with separate escalation provisions (up to 30% annual increases on tech and SEO). The Key Accounts/Management Fee (up to 5% of related Gross Sales) and per-closed-sale call center fee ($25/sale) are variable and hard to forecast. The FDD's fee structure is the most complex in the cohort — and complexity itself is a risk, because it makes total cost of ownership harder to predict.

Entity structure

Mosquito Joe SPV LLC is a securitization vehicle within Neighborly's multi-brand platform (Neighborly Assetco LLC / Dwyer Franchising LLC / KKR). The SPV structure is standard for PE-backed franchise portfolios but means the entity could be sold, restructured, or have royalty streams redirected without changing the operating relationship. All brands in this cohort are PE-backed; the SPV layering is distinctive to Mosquito Joe in its depth.

Litigation

One direct action: *SPV LLC v. Bailey et al.* — breach of contract for failure to pay Direct Marketing Program fees. The franchisor prevailed at trial (Sep 2023) and on appeal (Apr 2025). The franchisee's countersuit alleging fraudulent inducement was dismissed. Three additional concluded actions involving Neighborly affiliate entities, not MJ directly.

> **What this means:** The Bailey case is instructive — it shows the franchisor will enforce DMP payment obligations through litigation. If you sign, you are committing to the full marketing program. The fee complexity means your total cost of ownership may be higher than the base model suggests once conditional fees and escalation provisions are factored in.

Document quality

Copy-paste errors in Item 19 Part II column headers (customer/job tables labeled with gross sales headers). Data values appear correct. This is a formatting blemish, not a data integrity issue — but notable in a Neighborly-backed brand with corporate resources to produce clean filings.

Peer Context

Mosquito Joe sits at the premium end of this cohort: highest investment, second-highest ongoing fees, most complex fee structure. The compensating factor is disclosure quality — Joe's Item 19 is the most useful in the category, giving buyers actual retention rates, per-treatment pricing, and tenure-segmented revenue data that no competitor matches.

Direct contrast: Mosquito Authority. Opposite ends of the cost spectrum. Authority costs $32K/year less in ongoing fees at $300K revenue, enters for $54K–$128K (vs Joe's $150K–$192K), and has zero terminations. Joe offers more data transparency and the Neighborly brand infrastructure. The question is whether the Neighborly ecosystem justifies a $320K premium over a 10-year term.

Closest comparison: Mosquito Squad. Similar system size, similar PE backing (Authority Brands). Squad's fees are slightly lower ($78K vs $85K at $300K), but Squad's Item 19 is richer in some dimensions (per-territory revenue, company-owned P&L). Squad's graduated royalty (10/9/8%) rewards scale better than Joe's 10/7% tier.

The Neighborly factor: Joe is the only brand in this cohort backed by a multi-brand franchise platform (25+ service brands). This means shared call centers, cross-selling potential, and operational infrastructure that standalone brands can't match. Whether this translates to better unit economics for an individual franchisee is the question the buyer must answer — the FDD provides the data, the buyer provides the judgment.

METRIC	MOSQUITO AUTHORITY	MOSQUITO HUNTERS	MOSQUITO JOE	MOSQUITO SHERIFF	MOSQUITO SHIELD	MOSQUITO SQUAD	MOSQUITONIX
System size	546	135	415	5	435	226	8
Investment range	$54K–$127K	$141K–$170K	$150K–$192K	$79K–$81K	$120K–$157K	$162K–$220K	$121K–$157K
Fee burden at $300K	$52,800	$80,300	$84,752	$39,600	$86,000	$77,880	$90,100
% of revenue	17.6%	26.8%	28.3%	13.2%	28.7%	26.0%	30.0%
3-year net growth	+22	+8	+43	+5	+140	+3	+8
Recent attrition	1.8%	0.0%	5.7%	0.0%	11.1%	4.3%	28.6%
Royalty rate	10.0%	10.0%	10.0–7.0%	10.0%	8.0%	10.0–8.0%	10.0–7.0%

Decision overlay

Lowest-cost entry	Mosquito Authority — $54K–$128K. MJ is $150K–$192K — $96K more at the low end.
Lowest ongoing fee burden (established brands)	Mosquito Authority — 17–18% of revenue (2/7 in full cohort; 1st among brands with 100+ outlets). MJ is 28% at $300K — $32K/year more in franchisor fees.
Richest revenue disclosure	Mosquito Joe — Retention rates, per-treatment pricing, tenure-segmented sales. Among the most actionable Item 19 disclosures in the cohort.
Lowest attrition at scale	Mosquito Authority — Zero terminations in a 546-outlet system. MJ had 24 terminations in 2024 — a 5× spike requiring explanation.
Richest operational data for modeling	Mosquito Joe — Most operational data points in a single FDD. If you want to model before you commit, MJ gives you the most inputs.
Highest 'costs more than it looks' risk	Mosquito Joe — Conditional fees (LMG, per-sale, Key Accounts) and 30%/year escalation provisions mean disclosed fees are a floor.
Lowest-friction entry profile	Mosquito Authority — Lowest entry floor ($54K), fee deferral option. MJ requires $200K+ capital and comfort with fee complexity. Note: low friction to enter does not predict profitability.

Discovery Day Diligence Script

These questions are derived from specific findings in the Mosquito Joe 2025 FDD. Each includes context on why it matters and what to listen for.

1. 24 franchisees were terminated in 2024 — nearly 5× the prior year. What happened?

Item 20, 2024 data. 8 of 24 terminations in Alabama (9 outlets to 1).

WHY IT MATTERS

This is the single biggest system health anomaly in the filing. Whether it's a one-time correction or a systemic issue changes the risk profile of buying in.

STRONG ANSWER SOUNDS LIKE

'The Alabama cluster was [specific issue: regulatory, non-compliance, operator group]. The remaining 16 were enforcement of fee obligations we'd been patient on. We don't expect this level to repeat.' Specific causes, willingness to detail.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'We're focused on quality over quantity. Sometimes you need to clean house.' Vague, positions mass termination as routine housekeeping.

FOLLOW-UP

Ask for the termination causes by state. Ask whether any of the terminated franchisees dispute the franchisor's characterization.

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2. The Direct Marketing Program costs $37,000/year. What is the measured ROI for a typical territory?

Item 6/Item 7. DMP is the single largest mandatory fee beyond royalty.

WHY IT MATTERS

You're committing to $37K/year in a program you can't opt out of. If the ROI is strong, it's an investment. If it's unclear, it's a $37K tax.

STRONG ANSWER SOUNDS LIKE

'Average DMP-sourced leads convert at [X]% and generate $[Y] in first-year revenue per territory. Here's the attribution data.' Specific, measurable, willing to share tracking.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Our franchisees tell us it works. Marketing is a long-term investment.' No data, no attribution, anecdotal evidence only.

FOLLOW-UP

Ask to see actual DMP campaign reports from a territory similar to yours. Ask what happens if you believe the program is underperforming — can you redirect spend?

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3. The fee model excludes LMG (2% of Gross Sales) and the per-sale call center fee ($25/sale). Under what circumstances are these activated, and what is the typical total cost?

Item 6. LMG 'may be required.' Call center fee is per closed sale on rollover/after-hours calls.

WHY IT MATTERS

These conditional fees could add $11K–$15K/year at $300K revenue. If they're routinely active, your actual fee burden is significantly higher than the base model.

STRONG ANSWER SOUNDS LIKE

'LMG is active in [X]% of territories. Average annual LMG cost is $[Y]. Call center averages [Z] closed sales per territory per year.' Transparent about actual frequency and cost.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'LMG depends on your local market. The call center fee is only for leads we generate for you.' Deflects from total cost impact.

FOLLOW-UP

Ask for the average total franchisor fee payment (all components) from a territory doing $300K in Gross Sales. Compare to the base model.

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4. The Bailey litigation was over DMP fee non-payment. How common is DMP non-compliance, and are the 2024 terminations related?

Item 3, Bailey v. SPV LLC. Franchisor prevailed on breach of contract for DMP fees.

WHY IT MATTERS

If the franchisor is litigating and terminating over DMP fee compliance, it signals either that the DMP creates genuine financial stress for operators or that the franchisor is tightening enforcement. Either way, it affects your risk.

STRONG ANSWER SOUNDS LIKE

'Bailey was an isolated case. DMP compliance is [X]%. The 2024 terminations were for [separate specific reasons].' Distinguishes the cases clearly.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'We enforce our agreements consistently. Franchisees who don't follow the program put the whole system at risk.' Policy language, avoids the specific question.

FOLLOW-UP

Ask how many franchisees are currently in default or on payment plans for DMP fees.

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5. The Item 19 shows First 5 Years average ($215K) well below the median ($288K). What's happening with the low performers?

Item 19 Part II. Left-skewed distribution with a $16K low.

WHY IT MATTERS

Left skew means a cluster of operators at very low revenue is pulling the average down. Understanding why some operators are at $16K–$50K tells you what failure looks like in this system.

STRONG ANSWER SOUNDS LIKE

'Low performers are typically [part-time operators / seasonal markets / territories that hadn't ramped yet]. Here's what we do to support underperformers.' Honest about causes, active about support.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Every business has a range of outcomes. We provide the tools, franchisees provide the effort.' Implies low performance is the franchisee's fault without evidence.

FOLLOW-UP

Ask how many of the 91 First 5 Years businesses are below $100K, and whether any are on performance improvement plans.

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6. Transfer activity dropped from 30 (2022) to 8 (2024). Is the resale market contracting?

Item 20, Table 2. 73% decline in transfers over 2 years.

WHY IT MATTERS

If fewer territories are changing hands, it could mean franchisees are happy (positive) or that buyers aren't willing to pay asking prices (negative). In a system that just had 24 terminations, the latter interpretation

needs to be ruled out.

STRONG ANSWER SOUNDS LIKE

'Transfer volume declined because franchisee retention improved — fewer people wanting to sell. Average resale prices have [increased/held steady].' Data on resale economics.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Transfers fluctuate year to year.' No data, no explanation for a 73% decline.

FOLLOW-UP

Ask for the average resale price as a multiple of annual Gross Sales. Ask if any of the 2024 terminated territories were previously listed for sale.

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7. Technology and SEO fees may increase up to 30% annually. What has the actual increase history been?

Item 6, technology fee ($371/month) and SEO ($325/month) escalation clauses.

WHY IT MATTERS

A 30% annual increase on $8,352/year (combined tech + SEO) would reach $14,000+ within 3 years. The permission to escalate is disclosed; the track record matters.

STRONG ANSWER SOUNDS LIKE

'Tech fees have increased [X]% over the past 3 years. We added [specific capabilities] with each increase.' Transparent history, value justification.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'We always try to keep fees reasonable. The 30% is a contractual maximum, not a plan.' No history, no commitment.

FOLLOW-UP

Ask for a 3-year fee history for all recurring non-royalty charges.

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8. What does the Neighborly multi-brand platform actually deliver to a Mosquito Joe franchisee that a standalone brand can't?

Parent: Neighborly Assetco LLC / KKR. 25+ service brands.

WHY IT MATTERS

Mosquito Joe's fees are the highest in the cohort. The implicit justification is Neighborly's infrastructure. The buyer needs to know what that infrastructure concretely provides vs. what standalone competitors deliver for less.

STRONG ANSWER SOUNDS LIKE

'Cross-brand lead sharing generated [X] leads per MJ territory last year. Neighborly's shared call center handles [Y]% of inbound calls. Here's the NPS data for our support services.' Measurable, specific.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Being part of the Neighborly family gives you access to our proven systems and brand recognition.' Marketing language without measurable claims.

FOLLOW-UP

Ask for actual cross-brand lead volume data for a territory similar to yours. Ask what Neighborly services would disappear if MJ were spun off.

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9. The Key Accounts/Management Fee can reach 5% of related Gross Sales. How much revenue typically comes through this channel?

Item 6. Key Account work, Business Development leads, call center dispatched work.

WHY IT MATTERS

If 20% of your revenue comes through Key Accounts, this adds 1% to your effective total fee burden. At higher percentages, it materially changes the economics.

STRONG ANSWER SOUNDS LIKE

'Key Account revenue averages [X]% of total Gross Sales per territory. The management fee on that is [Y].' Transparent about volume and cost.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Key Accounts are a great revenue source. The fee covers our business development costs.' Avoids quantifying the cost impact.

FOLLOW-UP

Ask whether Key Account leads are opt-in or automatic. Ask if you can decline Key Account work.

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10. What does a realistic first-year cash flow timeline look like for a single-territory operator starting in spring?

Seasonal business. Item 7 shows $16.8K–$28K in 3-month working capital. First-year marketing obligations exceed $72K.

WHY IT MATTERS

With $150K+ invested and $72K+ in Year 1 marketing obligations, the cash draw in Year 1 is severe. The buyer needs to understand when revenue starts offsetting costs and how long personal reserves need to last.

STRONG ANSWER SOUNDS LIKE

'Typical spring start: first revenue in Month 2, breakeven on monthly cash flow by Month 5–6. Here's a sample first-year P&L from a recent launch.' Specific timeline with supporting data.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Results vary by market. We recommend having 6 months of personal expenses saved.' Generic advice without franchise-specific cash flow data.

FOLLOW-UP

Ask when the DMP and LPM payments are due relative to revenue ramp. Ask how many 2024 launches hit monthly breakeven within the first season.

Source & Methodology

Source document: Mosquito Joe 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. ~230-page regulator-source PDF. SHA-256:

78400773abfcd9f93207d0437fc41662d2bdc4b082d413871a5b2fb761beb393

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

Economics scenarios: Revenue estimates drawn from Item 19 data. COGS ratio is brand-specific (derived from available company-owned P&L data; see Economics section for derivation and assumptions). Scenarios are illustrative, not predictive. Operating costs beyond franchisor fees and COGS are not estimated — the buyer must validate these independently.

Peer comparison: Same methodology applied to all 7 brands in this cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Sheriff, Mosquito Shield, Mosquito Squad, MosquitoNix). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision. Economics scenarios are illustrative frameworks for buyer-side thinking — not profitability forecasts.